IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 18/BB/2017
C.P (CAA) No. 20/BB/2017
U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: **13th April, 2018**

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

TEXTRON INDIA PRIVATE LIMITED

AND

BEECHCRAFT INDIA PRIVATE LIMITED

Beechcraft India Private Limited
2nd Floor, No. 29,
80 feet Road,
4th Block, Koramangala
Bengaluru – 560 034 - **Petitioner/Transferor Company**

Textron India Private Limited
Floor 1 & 2, Tower 2,
SEZ Campus, Global Village,
RVCE Post, Mylasandra
Bangalore – 560 059 - **Petitioner/Transferee Company**

Parties Present : 1) Mr. Saji P John, Unit No. 1002, 10th Floors, #30, Prestige Meridian MG Road, Bengaluru – 560001
Advocate for the Petitioner Companies
2) Mrs. Sinchana M.R, Advocate, Standing Counsel
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 12.07.2017, 21.07.2017, 02.08.2017, 11.09.2017, 11.10.2017, 08.11.2017, 24.11.2017, 11.12.2017, 05.01.2018, 29.01.2018, 12.02.2018, 06.03.2018, 02.04.2017.

COMMON ORDER

The Company Petitions are filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby **BEECHCRAFT INDIA PRIVATE LIMITED** (Petitioner/Transferor Company) being merged with **TEXTRON INDIA PRIVATE LIMITED** (Petitioner/Transferee Company) so as to be binding on all the respective Shareholders, the secured and unsecured creditors, and all other relevant authorities of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of **BEECHCRAFT INDIA PRIVATE LIMITED** (Petitioner/Transferor Company) with **TEXTRON INDIA PRIVATE LIMITED** (Petitioner/Transferee Company).The Scheme of Amalgamation is shown as **Annexure-A** of **CP(CAA) No. 18/BB/2018**.

The Petitioner/Transferor Company was incorporated on 23rd April, 2010 under the name and style as Premium Aviation Support Services Limited under the jurisdiction of the the State of Maharashtra vide CIN bearing No. **U72999MH2010PTC202348**. Subsequently, the name of the company was changed to Hawker Beechcraft India Private Limited on 3rd

November, 2010. Further, the name of the company was changed to **Beechcraft India Private Limited** on 13th November, 2013. Thereafter, the registered office of the Petitioner/Transferor Company was shifted from Maharashtra to Karnataka on 2nd January, 2017 vide CIN No. **U74999KA2010PTC098937**. The Registered office of the Petitioner/Transferor Company is situated at 2nd Floor, No. 29, 80 feet Road, 4th Block, Koramangala, Bengaluru – 560 034.

The Petitioner/Transferor Company's main objects as set out in its Memorandum of Association is as follows:

i. To provide maintenance, repair and related support services to aircraft operators and aircraft owners including marketing and maintenance of aviation products and marketing of aircraft and aircraft products, and the sale of spare parts for aircraft.

ii. To provide customer support services including disseminating information and acting as a liaison and a point on contact between the aircraft operators, aircraft owner, and authorize service personnel regarding maintenance procedure, repair/ service methods, product improvements and other service related issues.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner/Transferor Company is shown in **Annexure-B** of **CP(CAA) No. 18/BB/2018**.

The authorised share capital of the Petitioner/Transferor Company as stated in the petition is Rs, 5,00,000/- divided in to 50,000 equity share of Rs, 10/- each. The issued, subscribed and paid-up share capital of Rs. 1,00,000/- divided in to 10,000 equity shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner/Transferor Company as on 31st March, 2016 and is shown in **Annexure-E** of **CP(CAA) No. 18/BB/2018**.

The Petitioner/Transferee Company was incorporated on 2nd April, 2004 under the name and style as Textron Global Technology Center Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No. **U72900KA2004PTC033677**. Subsequently, the name of the company was changed to **Textron India Private Limited** on 20th

November, 2007. The Registered office of the Petitioner/Transferee Company is situated at Floor 1 & 2, Tower 2, SEZ Campus, Global Village, RVCE Post, Mylasandra, Bangalore – 560 059.

The Petitioner/Transferee Company's Objects as set out in its Memorandum of Association *inter alia* include to engage in the business of providing applications for engineering and design services including but not limited to drafting, computer aided design, computer aided engineering, solid modeling, finite element analysis and to engage in research, design, product development, systems integration, implementation, fabrication, manufacturing, processing, assembly, offering and providing consultancy, turnkey services and other related activities and services in relation to the above. The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner/Transferee Company is shown in **Annexure-B** of **CP(CAA) No. 20/BB/2018.**

The authorised share capital of the Petitioner/Transferee Company as stated in the petition is Rs. 19,00,00,000/- divided in to 1,90,00,000 equity share of Rs, 10/- each. The issued, subscribed and paid-up share capital is Rs. 9,83,55,000/- divided in to 98,35,500 equity shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner/Transferee Company as on 31st March, 2016 is shown in **Annexure-C** of **CP(CAA) No. 18/BB/2018.**

The Board of Directors of the Petitioner/Transferor Company and Petitioner/Transferee Company approved and adopted the Scheme of Amalgamation at its respective meeting held on 20th February, 2017 and 16th February, 2017 respectively. The copies of Board Resolution is shown in **Annexure-F** of **CP(CAA) No. 18/BB/2018** and **Annexure-F** of **CP(CAA) No. 20/BB/2018** respectively.

Both the Petitioner Companies had filed Company Application No.(CAA) 20/BB/2017 and Company Application No.(CAA) 19/BB/2017 respectively before this Tribunal for dispensation of the meetings of Equity Shareholders and Unsecured Creditors of the respective Companies. This Tribunal vide orders dated 31st May, 2017 in the respective applications allowed the applications and dispensed with convening of meeting of Equity Shareholders and Unsecured Creditors of the Petitioner/Transferor Company and the

Petitioner/Transferee Company respectively. The Copy of the Orders of this Tribunal is shown as **Annexure-G** of **CP(CAA) No. 18/BB/2018** and **Annexure-G** of **CP(CAA) No. 20/BB/2018** respectively.

The Petitioner Companies filed petitions bearing CP (CAA) No.18/BB/17 and CP (CAA) No.20/BB/17 respectively before this Tribunal for approving the scheme of amalgamation on 6th June, 2017.

This Tribunal vide order dated 2nd August, 2017 in CP (CAA) No.18/BB/17 directed the Petitioner Companies to issue notices on the following authorities: (i) Regional Director, Ministry of Corporate Affairs, South-East Region; (ii) Register of Companies, Karnataka; (iii) Official Liquidator; (iv) Deputy Commissioner, Income Tax and (v) Objectors (if any) as contemplated under Section 230(4) of the Companies Act, 2013 and also to have an advertisement of the Notice of Petition to be carried out in the '**Financial Express**' (English Daily) and '**Udayavani**' (Kannada Daily) and stating that the next date of hearing was on 11th September, 2017.

The Counsel for the Petitioner Companies has filed compliance Affidavits dated **30th August, 2017** of the authorized signatory of the respective Petitioner Companies stating that, in pursuance to the order of this Tribunal dated 2nd August, 2018, evidencing notices being sent to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Karnataka, Official Liquidator and Deputy Commissioner, Income Tax, and the advertisement of the Notice of Petition carried out in the '**Financial Express**' (English Daily) and '**Udayavani**' (Kannada Daily) stating that the next date of hearing was on 11th September, 2017.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, Karnataka has filed his report by way of an Affidavit dated 24th November, 2017 in CP (CAA) No.20/BB/17 making the following observations:

a. The last dates for filing of audited financial statements for the year ended 31/03/2017 and Annual Return for 2016-2017 are 28/11/2017 and 30/11/2017 respectively. Hence, the petitioner Companies, who have not filed these documents with the RoC, be directed to file the same before taking up the petition for consideration, in the interest of updated and current MCA21 registry.

b. The Petitioner/Transferor Company is engaged in business of providing maintenance, repair and related support service to aircraft operators and aircraft towers including marketing of aircraft and its products as well as spare parts for aircrafts. The Petitioner/Transferee Company is engaged in maintenance activities relating to Ceesna aircrafts and Bell Helicopters which is much narrower than that of the objects and present business activities of Petitioner/Transferor Company. Since merger contemplates continuation of the business activities of the Petitioner/Transferor Company by the Petitioner/Transferee Company, it requires amendment of the main objects of the Petitioner/Transferee Company. However, the Scheme does not provide for consequential amendment to the main objects of the Petitioner/Transferee Company. Accordingly, the Scheme requires modification.

c. Clause 9.3 of the Part C of the Scheme provides that the issue and allotment of equity Shares to the shareholders of the Petitioner/Transferor Company by the Petitioner/Transferee Company towards consideration shall be deemed to be in compliance of Section 42 and Section 62 of the Companies Act, 2013 whereas those provisions have no application to the facts of the case. Any issue and allotment of equity shares by the Petitioner/Transferee Company in discharge of consideration under a scheme in terms of Section 230-231 of the Companies Act, 2013 does not attract provisions of Section 42 and Section 62 of the Companies Act, 2013 and any such a deeming fiction in the scheme is misleading and may result in unwanted and unwarranted interpretation. Hence, the Scheme requires amendment by deletion of the said clause. This clause is also in contradiction to clause 10.3 of the Scheme.

d. The Scheme provides for dissolution of Petitioner/Transferor Company without winding up. In view thereof, it is essential that the Petitioner/Transferor Company ought to have conducted its affairs without any violations. In this light, the Audited Financial Statement of the Petitioner/Transferor Company as at 31/03/2016 has been

examined and the Petitioner/Transferor Company was asked to explain as to how it complied with the provisions of Section 188 of the Companies Act, 2013 in respect of the Related Party Transactions it had carried out. Upon such an examination, it was observed that the Petitioner/Transferor Company had its entire (100%) business (i.e rendering of services) with its holding Company, M/s/ Beechcraft International Services Company (Which held 99% of its paid up capital till February-2017) and the Petitioner/Transferor Company explained that its Board ratified these related party transactions for the year 2015-2016 and 2016-2017 by passing resolutions on 25/08/2016 and 27/09/2017 respectively. However, Section 188(1) of the Companies Act, 2013 mandates a prior approval of the Board to such transactions and therefore, the Petitioner/Transferor Company and its Board have not complied with the said requirement, attracting the penal provisions of clause (ii) of subsection (5) of Section 188. It is possible that this violation must have been continued till February 2017 when the Petitioner/Transferor Company was taken over by the Petitioner/Transferee Company's management. Hence, the Petitioner/Transferor Company and its Directors in office during the years 2015-2016, 2016-2017 and 2017-2018 (till Feb 2017) shall make good this default including seeking compounding of offence committed during the said period before the scheme is approved by the Hon'ble Tribunal. Similarly, the Petitioner/Transferee Company was asked to explain compliance of Section 188 in respect of its Related Party Transactions but its reply is not conclusive and therefore, further enquiry is needed.

e. It is further observed from the Notes to Accounts forming part of the Financial Statement as at 31/03/2016 and 31/03/2017 of the Petitioner/Transferor Company that it had not provided for retirement benefits including gratuity and compensated absences in its books of Accounts. This non-provisioning of liabilities is in violation of AS-15 and accordingly results in non-compliance of Section 129(1), particularly the first proviso thereof, attracting penal consequences u/s 129(7) of the Companies Act, 2013. Therefore, the Petitioner/Transferor Company shall get this violation remedied before the Scheme is approved as Petitioner/Transferor Company is proposed to be dissolved without winding up.

The Counsel for the Petitioner Companies has filed a **reply affidavit dated 22nd December, 2017** of Director of the Petitioner/Transferee Company in CP (CAA) No.20/BB/17 connected with CP (CAA) No.18/BB/17 furnishing his observations on the report of the **Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad**, as follows:

a. The Petitioner/Transferor Company has filed form AOC - 4 and MGT – 7 for FY 16-17 and the copy of form filed along with acknowledgement for filing is annexed herewith as **Annexure 1**.

b. The Petitioner/Transferee Company undertakes to alter the main objects clause of Petitioner/Transferee Company to carry on the business of Petitioner/Transferor Company within 30 days from the date of NCLT order.

c. As per Companies Act, 2013, a company can allot shares by way of Rights issue (Section 62) and/ or Private Placement (Section 42) considering the same, the Petitioner/Transferee Company to avoid any challenges during allotment of shares pursuant to approval of Scheme of Amalgamation, has included Clause 9.3. The Scheme of Amalgamation provides for any compliance with not only Section 42 and Section 62 of Companies Act, 2013, but also provides for compliance with any other applicable laws. The intent of Clause 9.3 is not limited to compliance with Section 42 and Section 62 of Companies Act, 2013. In this regard, the need for deleting Clause 9.3 of Scheme of Amalgamation should not arise.

d. The related party transaction undertaken by the Petitioner/Transferor Company and the Petitioner/Transferee Company are in the ordinary course of business and are at arm's length price. Hence, in this regard, approval of board of director of Petitioner/Transferor Company and Petitioner/Transferee Company should not be applicable as per Section 188 of Companies Act, 2013. The management of Petitioner/Transferee Company has ratified the transactions for maintaining the record of the related party transactions.

e. The prescribed limit of number of employees has not been breached in Petitioner/Transferor Company for providing for retirement benefit including gratuity and compensated absence, hence the requirement of creation of provision should not arise.

Further the Petitioner Companies in the compliance Affidavits dated **30th August, 2017** stated that there are no other sectoral regulators to whom notice is required to be issued in respect of the Petitions.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, Karnataka on receipt of the reply affidavit of the Petitioner Company dated filed an Affidavit dated **1st February, 2018** in CP (CAA) No.18/BB/17 in response making the following observations:

a. The contentions taken at Para 4 are not acceptable for the reason that clause 9.3 of the scheme provides for a deeming fiction of compliance with Section 42 and Section 62 of Companies Act, 2013 which are not applicable to the allotment of shares pursuant to the sanctioned scheme.
b. The submissions at Para 5 of the counter have been noted but have to observe that the petitioner company has not produced any documentary evidence to support its contentions, which may be directed to be submitted.

The Counsel for the Petitioner Companies has filed a **reply Affidavit dated 5th March, 2017**of a Director of the Petitioner/Transferee Company furnishing observations on the Affidavit of **Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad**, the as follows:

a. As per Companies Act, 2013, a company can allot shares by way of Rights issue (Section 62) and/ or Private Placement (Section 42) considering the same, the Petitioner/Transferee Company to avoid any challenges during allotment of shares pursuant to approval of Scheme of Amalgamation, has included Clause 9.3. The Scheme of Amalgamation provides for any compliance with not only Section 42 and Section 62 of Companies Act, 2013, but also provides for compliance with any other applicable laws. The intent of Clause 9.3 is not limited to compliance with Section 42 and Section 62 of Companies Act, 2013. In this regard, the need for deleting Clause 9.3 of Scheme of Amalgamation should not arise.

   Further, the Hon'ble Tribunal has passed order approving the scheme with similar language in case of Scheme of Amalgamation of Atmel R & D India Private Limited and NMI India Private Limited and their respective shareholders. Company

application number – CP(CAA) No 45/BB/2017. The Scheme of Amalgamation and order of the Tribunal has been annexed as Annexure-A.

b. The Board has ratified the transaction, as transaction undertaken in the ordinary course of business and are at arm's length price based on the Form 3CEB "Report from an accountant to be furnished under Section 92E relating to international transaction(s) and specified domestic transaction(s). The report issued by the accountant for Petitioner/Transferor Company and Petitioner/Transferee Company for FY 2013-14, FY 2014-15, FY 2015-16 and FY 2016-17 has been annexed as Annexure-B.

Thereafter, **The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad** represented by Registrar of Companies, Karnataka in response filed an affidavit **dated 23rd March**, 2018 in CP (CAA) No.18/BB/17 and CP (CAA) No.20/BB/17stating that that Directorate has no objection to the instant Scheme of Amalgamation.

Further, on the prayer made by the Official Liquidator in **OLR no. 142/2017** in CP (CAA) 18/BB/2017, vide order dated 11th September, 2017 Murugendrappa & Co., Chartered Accountants was appointed to scrutinise the books of accounts and records of Petitioner Companies. Upon scrutiny of books, records and other material made available by the Petitioner/Transferor Company, Murugendrappa & Co., Chartered Accountants submitted the report on 20.11.2017 stating that, "the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interests of the Members of the Transferor Company or public interest as per the proviso to Section 232 of the Companies Act, 2013.".

The Counsel for the Petitioner/Transferee Company has furnished the certificate of the Chartered Accountant stating that the Accounting Treatment detailed in the Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of the Act read with Rule 7 of the Companies (Account) Rules, 2014. A copy of the certificate of the Charted Accountant and copy of the valuation report in respect of the share swap ratio has been filed with **memo dated 8th January, 2018.**

After hearing the counsel for the Petitioner Companies and also considering the materials on records the scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make it clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the **Beechcraft India Private Limited** (Petitioner/Transferor Company) be transferred without further act or deed to **Textron India Private Limited** (Petitioner/Transferee Company) and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner/Transferee Company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of **Beechcraft India Private Limited** (Petitioner/Transferor Company) be transferred without further act or deed to **Textron India Private Limited** (Petitioner/Transferee Company) and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of **Textron India Private Limited** (Petitioner/Transferee Company); and

The tax implications, if any, arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the concerned Tax Authorities shall be binding; and

All the proceedings now pending by or against **Beechcraft India Private Limited** (Petitioner/Transferor Company) be continued by or against **Textron India Private Limited** (Petitioner/Transferee Company), if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. **1st April, 2017.**

The Petitioner Companies should ensure compliance of the affidavit dated 22nd December, 2017.

Beechcraft India Private Limited (Petitioner/Transferor Company) or its Authorised Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of **Beechcraft India Private Limited** (Petitioner/Transferor Company) to **Textron India Private Limited** (Petitioner/Transferee Company) for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13/4/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

13.4.18

(RATAKONDA MURALI)
MEMBER, JUDICIAL

Closed

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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 13.04.2018.

PRESENT: 1. Hon'ble Member(J) **Shri Ratakonda Murali**
2.Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) No. 18/ BB/2017	To file additional document	230/ 232	Beechcraft India Pvt. Ltd.	SPJ Legal		Sinchana M.R. CGC for ROC/RD

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
	Ajai. P. Johnson SPJ Legal	For Petitioners	

ORDER

Order will be passed vide separate Order

MEMBER(T) **MEMBER(J)**